ACADEMIC CENTRAL

PRACTICE EXAMINATION

NC(V) LEVEL 2

ENTREPRENEURSHIP

PAPER 1 · PRACTICE A

MARKS: 100 **TIME: 3 hours**

NC(V) Information Technology and Computer Science, Level 2. Section A: objective questions (30) · Section B: the entrepreneur, business ideas and opportunities, forms of ownership, marketing, costing and pricing, the business plan (70).

Written by Academic Central for practice, following the NC(V) subject guidelines for NC(V) Level 2. It is not a Department of Higher Education and Training examination paper.

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Show ALL calculations.
5. A non-programmable calculator may be used.
6. Write neatly and legibly.

SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10).

1.1.1 A person who identifies an opportunity and takes a risk to start a business is a/an …

A entrepreneur.
B employee.
C consumer.
D shareholder only.

1.1.2 Which form of ownership is owned and managed by one person who has unlimited liability?

A Private company
B Co-operative
C Sole trader (sole proprietor)
D Public company

1.1.3 In a SWOT analysis, a new competitor opening next door is a/an …

A strength.
B weakness.
C threat.
D opportunity.

1.1.4 Rent that has to be paid every month whether or not anything is sold is a …

A fixed cost.
B variable cost.
C selling price.
D profit.

1.1.5 The four Ps of the marketing mix are product, price, place and …

A people.
B profit.
C planning.
D promotion.

1.1.6 The group of customers a business wants to sell to is its …

A supply chain.
B target market.
C stock.
D capital.

1.1.7 Money that an owner puts into a business to start it is called …

A turnover.
B a loan.
C a dividend.
D capital.

1.1.8 An agreement that lets you sell a well-known brand's products using its system is a …

A partnership.
B franchise.
C patent.
D sponsorship.

1.1.9 The government agency that supports small businesses in South Africa is …

A SARS.
B SAPS.
C SEDA.
D SABS.

1.1.10 If the cost price of an item is R40 and the mark-up is 25%, the selling price is …

A R50.
B R10.
C R45.
D R65.

(10)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'true' or 'false' next to the question number (1.2.1–1.2.10).

1.2.1 Entrepreneurs are usually afraid to take any risks.

1.2.2 A business plan can be used to apply for a loan from a bank.

1.2.3 A partnership must have at least two owners.

1.2.4 Variable costs increase as more products are made.

1.2.5 Profit = income − expenses.

1.2.6 Market research helps an entrepreneur to understand customers' needs.

1.2.7 A private company (Pty) Ltd has unlimited liability for its owners.

1.2.8 Social media can be a low-cost way to promote a small business.

1.2.9 The break-even point is where income equals total costs.

1.2.10 Creativity means copying exactly what competitors are doing.

(10)

1.3 Choose a term from COLUMN B that matches a description in COLUMN A. Write only the letter (A–J) next to the question number (1.3.1–1.3.10).

	COLUMN A		**COLUMN B**
1.3.1	Owners can lose only the money they invested	A	limited liability
1.3.2	Business owned and controlled by its members, who share the profits	B	brainstorming
1.3.3	Total value of sales over a period	C	opportunity
1.3.4	A gap in the market that can be turned into a business	D	co-operative
1.3.5	Business that makes money by solving a problem in the community	E	slogan
1.3.6	Goods kept by a business to sell	F	business plan
1.3.7	A short, memorable phrase used in advertising	G	social enterprise
1.3.8	Generating many ideas in a group without judging them	H	turnover
1.3.9	Business that operates without being registered or paying tax	I	informal business
1.3.10	Written document describing how a business will operate and make money	J	stock (inventory)

(10)

TOTAL SECTION A: [30]

SECTION B

Read the case study and use it where asked.

Case study: Lerato's Tech Fix

Lerato completed NC(V) Level 2 in Information Technology. Many people in her township have cracked cellphone screens and slow laptops, but the nearest repair shop is 25 km away in town. Lerato plans to start a small repair service from a container near the taxi rank. She has R8 000 savings. She will repair screens, remove viruses and install software. A competitor recently started fixing phones from his home in the next street, but he is often closed. Lerato is good with people, works hard and is not afraid of failure.

QUESTION 2: THE ENTREPRENEUR AND BUSINESS OPPORTUNITIES

2.1 Name FOUR characteristics of a successful entrepreneur. Use the case study to support TWO of them. (6)

2.2 Explain the difference between a business idea and a business opportunity, with reference to Lerato. (4)

2.3 Do a SWOT analysis for Lerato's Tech Fix (ONE point for each of strengths, weaknesses, opportunities and threats). (8)

2.4 Give TWO ways in which entrepreneurs benefit the South African economy. (2)

[20]

QUESTION 3: FORMS OF OWNERSHIP AND SUPPORT

3.1 Recommend a suitable form of ownership for Lerato. Give TWO advantages and ONE disadvantage of this form. (5)

3.2 Lerato's friend Sipho wants to join the business. Name TWO things that should be included in a partnership agreement. (2)

3.3 Name THREE sources of finance Lerato could use if her savings are not enough. (3)

3.4 Name FIVE legal or official requirements Lerato must meet to run her business properly. (5)

[15]

QUESTION 4: MARKETING

4.1 Describe Lerato's target market. (2)

4.2 Apply each of the four Ps of the marketing mix to Lerato's Tech Fix. (8)

4.3 Suggest TWO low-cost ways for Lerato to advertise her business. (2)

4.4 Give THREE ways Lerato can provide good customer service so that customers return and recommend her. (3)

[15]

QUESTION 5: COSTING, PRICING AND THE BUSINESS PLAN

5.1 Lerato's monthly costs are: container rent R1 200, electricity R400, cellphone data R300. A replacement screen costs her R350, and she charges R600 to fit it.

5.1.1 Calculate her total fixed costs per month. (2)

5.1.2 Calculate the contribution (profit before fixed costs) on one screen repair. (2)

5.1.3 How many screen repairs must she do per month to break even? (3)

5.1.4 Calculate her profit in a month in which she fits 20 screens (ignore other work). (3)

5.1.5 Calculate her mark-up on the screen as a percentage of cost (to two decimal places). (3)

5.2 Name SIX sections that should be included in Lerato's business plan. (6)

5.3 Give ONE reason why an entrepreneur should keep personal money and business money separate. (1)

[20]

TOTAL SECTION B: [70]

TOTAL: 100

END OF QUESTION PAPER